

US Economic Perspectives

Warsh: "A sea change in new thinking"

Chairman Warsh sees a sea change in new thinking

In his first six weeks at the Federal Reserve as Chairman, Kevin Warsh told Congress this morning he sees a "sea change in new thinking."

"Today we are at a hinge point in history. It's up to all of us to meet this moment," he read from his prepared testimony.

Overall, there was little information content in the three hours of testimony. Indeed, the market reacted to a relatively innocuous comment about not looking at this morning's CPI and "declaring mission accomplished" and bonds sold off a smidge. Core PCE inflation would still be over 3% after this morning's CPI, so obviously the mission to return inflation to 2.0% is not accomplished.

A more cautious approach to balance sheet changes?

One interesting thread of the testimony seemed to be a more cautious approach to the balance sheet than appeared to be the case before becoming Chairman. He told House members several times that any changes to the balance sheet policies would be deliberate, publicly announced and any changes would be pursued over time. Overall, he seemed to signal that any changes that emerged from the task force recommendations and FOMC decisions would proceed carefully. He also pushed back against those who thought the Federal Reserve might be able to return to the pre-GFC open market operations days of a small balance sheet.

"I'm not of the mistaken view that we can go back to where we were when I arrived at the Fed in 2006, but I think there are several other sustainable equilibrium we can achieve. And the third question is equally important. It took us nearly 18 years to find our way into this balance sheet, where we're holding a lot of long-term Treasury debt, long-term mortgage backed securities. We won't be able to make changes overnight. Any changes that we make would be well-deliberated, would be public, would be understood, and there would be quite a bit of time before any of that was operationalized. I look forward to the recommendations of the task force, and I look forward to hearing from my colleagues around the FOMC as we contemplate alternatives," he said.

Even with that evolution in the language he is using for the balance sheet policy, he also still retains the flavor of the balance sheet being an active part of the toolkit: *"The Federal Reserve can and will deliver price stability. We have the tools that you mentioned, both interest rates and balance sheet policy that can help us achieve that aim. And we have the tools to deliver that. So it's a function of commitment, responsibility and tools. And we're three for three and we'll deliver."*

Later in testimony he said he did not think quantitative easing was "inherently inflationary" and noted the role expanding the balance sheet has in providing liquidity when needed.

Reiterating commitment to price stability and not other stuff

Most of the testimony was a combination of topics unrelated to monetary policy or topics becoming now regular pronouncements, looking across Chairman Warsh's nomination testimony, the June FOMC press conference, and his appearance at Sintra. He expressed in strong language the commitment to price stability. He continued to note that inflation is a choice, that the two arms of the dual mandate are not in conflict, and

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the FOMC would deliver on its mandated goals of maximum employment and price stability.

"In my view, the two parts of the mandate are not in conflict. This is not an either or proposition. The more we can do to deliver low and stable prices, the more we can get it such that people aren't worried about inflation, the more employers are going to want to hire more workers. So you gave us a remit. We take both parts of it seriously. We, as we look out the window now, the labor markets look to be in pretty good balance. We've got some work to do on the inflation front."

He said the FOMC should stay in its lane, not veer into fiscal policy, among other potential mission creep: *"You're giving us independence on that. And my judgment is we should be staying out of fiscal policy. We shouldn't be weighing in, no matter how tempting it might be, either directly by buying assets that are that have some flavor of fiscal policy, or by opining on subjects that really isn't our business. We're going to try to stick in our lane at the Federal Reserve."*

Also reiterated potential for AI-driven productivity

He again touted his optimistic vision for artificial intelligence to drive productivity gains that would benefit the US economy. Noting that this could be the opportunity for a higher productivity regime with AI *"the most exciting opportunity"* coming with *"risks and challenges."*: *"This is the most exciting opportunity, but with it comes the kinds of risks and challenges that you highlight. We at the central bank need to look at these with a view towards what do they mean for our mandate? What does it mean for the, for our expectations of inflation over the next couple of years and beyond? What does it mean for employment? You told us that's our job. ... So I've created a task force on productivity and jobs to help us think about that connection. We're not outsourcing anything, we're ultimately going to make these decisions. But American ingenuity has found its way into artificial intelligence. And it's an exciting time, but one that we're not complacent about."*

In the exchange with Rep. Dan Meuser (R-PA) on the opportunity he did not disagree with the potential disinflationary impact:

Rep. Dan Meuser (R-PA): *"...I think you, you believe Chairman Greenspan in the 90s recognized that a productivity boom from computers and the internet was putting a downward pressure on inflation, and he cut rates based on, on, on, on, on that data ahead of the data. Does AI present that same kind of opportunity today?"*

Warsh: *"If you've seen one productivity boom, you've seen one productivity boom. I take very seriously the productivity booms that we've had. And generally if you look at the surge in productivity in the post-war era in the United States, we tend to move from a relatively low productivity realm environment, where productivity grows about 1.5% a year, and then for a decade or longer..."*

Chairman Hill: *"The gentleman's time has expired."*

Warsh: *"...we move to a higher productivity realm. I think this could be that opportunity, but I can't say it for certain as of yet."*

CPI report "one data point" and there is a task force for that.

He did comment on this morning's CPI report, stating: *"So, it's one data point. The reason I created a task force on data is I don't want to overread or cherry pick data. There might be some that look at this morning's data and say, oh, mission accomplished, everything is swell. That is not my view."* Later he stated that the report was *"positive relative to expectations"* but again reiterated that this wasn't *"mission accomplished"* with *"plenty of work to do."*

He said: *"...like you, while I reviewed the data that came out this morning on CPI and it was it was positive relative to expectations. I'm not for cherry picking. I'm not going to show up here and say, mission accomplished. And what I'd say is there's plenty of work to do. And I would feel more confident if we had better data to inform our decision making. We have a task force that's going to be focused on doing just that."*

At Sintra, Warsh noted the inflation news had improved since the June FOMC meeting, but failed to elaborate further on today's data, and again avoided providing insight into his views on the outlook for monetary policy.

He later expanded on inflation measures when asked about his "preferred measure of inflation" as referenced in a WSJ article, the Dallas Fed's trimmed mean PCE, Warsh stated that the idea he has a preferred measure is "incorrect" and that *"If I had a preferred measure, I wouldn't have called for a task force to go back to first principles, and the data task force will be looking importantly at inflation measures. My view is that we need new measures to understand the underlying changes in inflation. Am I interested in what's the mean or median price of a good and a big box retailer? You bet I am. And none of these measures capture that. I am super interested in finding new measures to do a better job to help us inform our decisions, so that the inflation of the last five years don't continue."*

Warsh's plan: task forces, culture and strategy could restore price stability

About the closest the Chair got to laying out his plan for restoring price stability was many references to the task forces and the information they could provide on inflation, measurement, data, and communications. Asked directly how he would get inflation back to target Chairman Warsh answered:

"Accountability, responsibility and performance. By reiterating that by reminding all of our colleagues that that's what drives us. I've started to do it in my first seven weeks, but it's resonating. It's, I hear it back in the hallways. I hear it at the cafeteria. And so at some level, people might think of this job as getting the answer right. Well, to the right of the decimal point. And occasionally we do have to wander there. But in order to deliver on what you've asked us to do, I've always thought that most of this job is the left of the decimal point. We're going to get the culture right. We're going to get the strategy right. We're going to get policy right, and we're going to get the organization right. And if we can do those big things, getting the right answer to the right of the decimal point, I think will be a lot easier."

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